Apollo Micro Systems Ltd

Concall Tracker · Q2 FY2027 (quarter ended 30 Sep 2026) · Screener: APOLLO · BSE: 540879 · Defence & aerospace electronics, Hyderabad · Report prepared 6 Nov 2026

Continuity report · follows our Q1-2027 report

Not investment advice. Do your own due diligence. A reading of the company's own earnings-call transcripts and public financials.

1. Snapshot

What the business does: Apollo designs and builds the electronic "brains" that go inside India's home-made missiles, torpedoes, naval mines and rockets, and sells them to DRDO (the Defence Research & Development Organisation), defence public-sector firms like Bharat Dynamics (BDL) and the Navy. It has bought an explosives maker (IDL) and is buying a second (Premier Explosives) so it can build whole weapons, not just their electronics.

Measure	Value	What it means in plain words
Market cap / share price	₹15,332 cr / ₹414	What the whole company is worth on the stock market.
Stock P/E	107×	Investors pay about ₹107 for every ₹1 of yearly profit. Priced for everything to go right.
Q2 FY27 standalone sales	₹306 cr	Core business sales in the Sept quarter, up 36% on last year and nearly double Q1. A record.
Q2 FY27 standalone margin	35%	₹35 of operating profit (EBITDA, before interest, tax and depreciation) per ₹100 of sales. Another record, up from 31% in Q1.
Q2 FY27 standalone profit	₹48 cr	Up 46%. Would have been higher but the tax rate jumped to about 51% this quarter.
Group (consolidated) Q2	₹388 cr sales, ₹46 cr profit	Group profit is below the core business profit, which means the explosives arm IDL lost money this quarter.
Operating cash flow, H1 FY27	+₹22 cr	Cash actually collected from operations, after a ₹153 cr outflow in FY26. Small, but finally positive.
Borrowings (Sep 26)	₹600 cr	Up from ₹489 cr in March. Growth is still being paid for partly with debt.

2. Concall coverage

Period	Call date	How it is treated
Q3 FY25 → Q4 FY26 (6 calls)	Feb 2025 – May 2026	Carried forward from our Q4-2026 report.
Q1 FY27 (prior boundary)	8 Aug 2026	Coverage boundary of the Q1-2027 report.
Q2 FY27	26 Oct 2026	Newly deep-read in full ★

Only the Q2 FY27 call was read in full this quarter; the older history comes from the prior reports. Eight calls in all, spanning about two years. Screener lists nine entries; the one it couldn't download (Nov 2018) is years outside the window.

★ Latest concall highlights · Q2 FY27 (26 Oct 2026)

- **A record quarter after a soft one.** Standalone sales ₹306 cr (+36%), operating profit ₹108 cr (+82%), margin 35%. Management put the margin jump down to a mix of production orders over development work. Read: Q1's slow start was partly timing. But H1 standalone growth is still only 29%.
- **Growth guidance quietly widened.** In August it was 40–45% for the year. On this call the MD said "anything 35% to 45% definitely". Read: the low end came down five points. Not a big cut, but a cut.
- **Order book barely moved.** ₹1,765 cr at September (standalone a little under ₹1,300 cr) against ₹1,704 cr in June. Management says it will reach ₹2,000+ cr by March without the naval mine order, and ₹4,500–5,000 cr with it. Read: the big orders are still the whole story, and they're still not signed.
- **Naval mine (MIGM) order: now February, "not exceeding March".** The Navy's enquiry is expected in November and the 20% advance before 31 March. In August the order was expected Dec 2026 or Jan 2027. Read: another small slip, though trials are done and Apollo is the sole electronics source.
- **Bigger ambitions.** Premier Explosives deal cleared by the competition regulator. A new group company, ShauryAstra, with former DRDO chief Dr V K Saraswat, will design long-range weapons, with Apollo holding about a third. The MD repeated a ₹25,000 cr group revenue target in five years. Tone: very confident and expansive.

Business mix & capacity (Q2 FY27). Domestic vs export: about 100% domestic. Exports are nil and are pencilled in for next fiscal, once the new plant is fully running. **Capacity:** no utilisation figure is given. Unit-3 phase one is running; full operation by March 2027, which management now says is about 12 times today's capacity (it said about 8 times in August). In-house test labs for electronics and navigation systems should be ready in about a month, cutting waits for DRDO test slots. Read: plenty of headroom is coming, and capacity isn't the bottleneck. Orders are.

★ Since our last report

Builds on the Q1-2027 report (call 8 Aug 2026). Its verdicts were **trigger YES** and **consistency MAYBE**. Things to watch: the MIGM order, IDL's turnaround, Unit-3 timing, the promoter pledge, and whether 40–45% growth was reachable after a weak Q1.

Prior read	What we said then	What the new call shows	Movement
Earning trigger	Programmes moving into bulk production; record margins.	Record sales and 35% margin on production orders. Big orders still pending.	**Confirmed**
40–45% growth FY27	Q1 standalone only +17%.	H1 +29%. Guidance now stated as 35–45%.	**Slipping**
MIGM naval mine order	Expected Dec 2026 / Jan 2027.	Now Feb, "not exceeding March".	**Slipping (minor)**
IDL turnaround	Slightly profitable in Q1; fully positive from FY28.	Lost money in Q2 ("lean off-season quarter"). "A couple of quarters more" needed.	**Slipping**
Unit-3 fully running	"Before March 2027".	Still March 2027. No further slip.	On-track
Promoter pledge to zero	Pushed to Q1 FY28.	Not raised on the call by anyone.	No update
Cash burn	FY26 operating cash flow –₹153 cr.	H1 FY27 +₹22 cr; working-capital days down slightly. Fully positive "from FY29".	**Improving**
Premier Explosives	Deal signed; open offer pending.	Regulator cleared; completion expected in about a month.	**On-track**

Verdict change this quarter: both unchanged. The trigger looks better in the numbers than at any point so far. Consistency stays at MAYBE: the guidance band slipped down, the mine order moved again and IDL went backwards, while cash flow and the quarter itself were genuine wins.

★ 3. Earning-trigger thesis

Apollo is the sole or main electronics supplier on many of India's home-made weapons that are now moving from development into bulk production. Production orders carry better margins than development work, which is exactly what showed up this quarter at 35%. The next leg depends on a few big orders landing: the MIGM naval mine (Apollo makes the whole weapon and expects the bulk of a ~₹3,500 cr budget), Pinaka rockets (Army order of about 2,000 units expected by December), QRSAM air-defence missiles (now delayed because the Defence Ministry wants to split the first 1,000 between BDL and private firms) and torpedo work via BDL (about ₹100 cr expected from the Varunastra order). On top sits the push into explosives and whole weapons, which is bigger but also costlier and less proven. The weak spot is unchanged: the order book is flat until those big orders are signed.

Trigger	What management said	Evidence so far	Time horizon	Strength	Change since last report
Bulk production orders (MIGM, Pinaka, QRSAM, torpedoes)	MIGM by Feb–Mar; Pinaka by Dec; order book ₹4,500–5,000 cr by March with MIGM.	Record 35% margin on production work. Order book ₹1,765 cr, flat on Q1.	Q4 FY27 orders; revenue FY28+	Strong but timing-dependent	**unchanged; mine order a bit later, QRSAM muddier**
Explosives & whole weapons (IDL, Premier, ShauryAstra)	Make complete weapons in-house; ₹25,000 cr group in five years.	Premier cleared by regulator; IDL silo unit opened but IDL lost money in Q2.	1–5 years	Moderate, unproven	**scope bigger, results weaker**
Unit-3 capacity & exports	Full by March 2027; exports from next fiscal.	Phase one running; export revenue nil.	FY28+	Moderate	**unchanged**
Cash conversion	Fully positive operating cash flow from FY29.	H1 +₹22 cr after a big FY26 outflow.	FY27–FY29	Weak but improving	**↑ first positive half**

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Every call to FY26	45–50% yearly standalone growth.	FY26 ~36%.	Missed
Every call	~15% net-profit margin.	H1 FY27 standalone 16%.	Delivered
2025 → Oct 2026	MIGM naval mine order "any moment", then Dec/Jan.	Approval in; order now Feb–Mar 2027.	Partly
2025 → Aug 2026	IDL to turn profitable.	Profitable in Q1, loss in Q2; "couple more quarters".	Partly
Feb 2025 → Aug 2026	Promoter pledge to zero.	Third deadline Q1 FY28; not discussed this call.	Missed (so far)
May 2026	Unit-3 fully running by June 2026.	Now March 2027, held this quarter.	Missed (delayed)
Aug 2026	40–45% growth in FY27.	H1 +29%; band now 35–45%.	Slipping
Oct 2026	Order book ₹2,000+ cr ex-MIGM by March; ₹4,500–5,000 cr with it.	Forward-looking.	Too early

Narrative drift: the core message is steady: the same programmes, the same "from development to bulk production, then whole weapons" path, and the margin promise keeps being met. What keeps drifting is size and timing. Each call adds something bigger: a second explosives buy, then a new weapons-design company, now a ₹25,000 cr five-year target, 2,000 more acres and a "big investment" raise for IDL. At the same time the near-term promises keep sliding a little: the growth band, the mine order date, the IDL turnaround. The tone this quarter was the most promotional yet ("we are only accelerating", "built for this moment"). Some answers were vague: no breakdown of the order book, no detail on the 51% tax rate beyond a garbled rate-change explanation, and nothing on Premier until the deal closes.

5. Bottom line · two verdicts

Durable earning trigger? → YES

vs last quarter: unchanged

This quarter is the best evidence yet that the trigger is real. When production orders flow, sales nearly double quarter on quarter and the margin climbs to 35%. Apollo is the sole electronics source on the naval mine and on key QRSAM subsystems, so when those orders land it's hard to cut them out. The risk is timing, not existence. The order book didn't grow this quarter, QRSAM is tangled in a split-order decision, and the stock at 107 times earnings leaves no room for the big orders to slip into next year.

Management consistent? → MAYBE

vs last quarter: unchanged

The pluses: a record quarter, the first positive half-year cash flow, the margin promise kept, and Unit-3 held to its March date. The minuses: the growth band was nudged down without saying so, the mine order moved again, IDL went back into loss, and the pledge promise still hangs. The bigger worry is the direction of travel. The long-term targets keep growing while the dated near-term ones keep slipping. That's not a NO, because the business keeps delivering in the end, but it's a habit to watch. Next call: is the MIGM order signed, does H2 hit at least 35%, and does IDL make money.

Sources: Apollo Micro Systems Ltd Q2 FY27 earnings-call transcript (26 Oct 2026), sourced from Screener.in and read in full. Earlier calls (Feb 2025 to Aug 2026) carried forward from our Q4-2026 and Q1-2027 reports. Screener.in financials as at 6 Nov 2026 (standalone quarterly table: sales ₹306 cr, net profit ₹48 cr, tax 51%; borrowings ₹600 cr at Sep 2026). Acronyms: MIGM = Multi-Influence Ground Mine; QRSAM = Quick Reaction Surface-to-Air Missile; DRDO = Defence Research & Development Organisation; BDL = Bharat Dynamics Ltd.